

Room for Improvement. As mentioned above, in our multi-asset trading cost analysis we bounded the market impact parameters (e.g., set constraints on the potential set of solutions) in order to be able to make a fair cost comparison of trading costs across the different assets classes. But as our results above found, we can improve the forecasting accuracy of the model by allowing these parameters to vary by asset class. Many of the asset classes have relationships different from the equity markets. For example, currencies, commodities, and corporate bonds were found to have a much lower relationship with cost and size as was found for equities. Portfolio managers investing in multi-asset classes were best served by using a market impact model that was constructed specifically for that financial instrument, and allowing the parameters of the model to vary appropriately.

Finally, the cost structure of many of these asset classes has changed since 2011. Investors seeking to have the most up to date cost estimates and impact model parameters are referred to www.KissellResearch.com as well as Kissell (2013), “Multi-Asset Trading Cost Estimates,” working paper available upon request.